

SENATE BILL 1990

By Lamar

AN ACT to amend Tennessee Code Annotated, Title 47
and Title 66, relative to manipulation of rental
prices.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Stop Rent Rigging Act."

SECTION 2. Tennessee Code Annotated, Title 47, Chapter 25, Part 1, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Algorithm" means a computational process that uses a set of rules to
define a sequence of operations;

(2) "Algorithmic device" means any machine, device, computer program,
or computer software that on its own or with human assistance performs a
coordinating function;

(3) "Coordinating function":

(A) Means performing all of the following subfunctions:

(i) Collecting historical or contemporaneous prices, supply
levels, or lease or rental contract termination and renewal dates of
residential dwelling units from two (2) or more residential rental
property owners or managers; provided, that at least two (2) such
residential rental property owners or managers are not wholly
owned subsidiaries of the same parent entity or otherwise owned
or managed by the same residential rental property owner or
manager;

(ii) Analyzing or processing the information described in subdivision (a)(3)(A)(i) using a system, software, or process that uses computation, including by using that information to train an algorithm; and

(iii) Recommending rental prices, lease renewal terms, ideal occupancy levels, or other lease terms and conditions to a residential rental property owner or manager; and

(B) Does not include a product used for the purpose of establishing rent or income limits in accordance with an affordable housing program administered by a federal, state, or local government or other political subdivision;

(4) "Person" means a natural person or a legal entity; and

(5) "Residential rental property owner or manager" means an individual or entity that owns or is a beneficial owner of, directly or indirectly, in whole or in part, or manages one (1) or more residential rental dwelling units in this state.

(b) It is an unlawful restraint of trade or commerce for a person to knowingly or recklessly facilitate an agreement between or among two (2) or more residential rental property owners or managers to not compete with respect to residential rental dwelling units, including by operating or licensing a software, data analytics service, or algorithmic device that performs a coordinating function on behalf of or between and among such residential rental property owners or managers.

(c) It is an unlawful restraint of trade or commerce for a residential rental property owner or manager to knowingly or recklessly set or adjust rental prices, lease renewal terms, occupancy levels, or other lease terms and conditions in one (1) or more of the owner's or manager's residential rental properties based on recommendations

from a software, data analytics service, or algorithmic device performing a coordinating function.

(d) A violation of subsection (b) or (c) is subject to the same civil and criminal penalties as a violation of § 47-25-101.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.